sterling reserves. Subsequent amendments to the Reserve Bank Act have relaxed that provision, and today gold provides only a very small part of the asset-backing for the currency issued by the Reserve Bank; the rest of the cover comes from the domestic and foreign securities held by it.

This breaking of the historical link between the issue of currency by a central bank and its gold holding redefines the basis of public trust in a central bank. The restraint on a central bank to issue currency without bounds is no longer its gold holding but the obligation to preserve the value of the currency by keeping inflation in check. All through my Reserve Bank tenure, I firmly believed that it is this broader interpretation of trust that underlies the governor's promise to pay the bearer 'the sum of ten rupees'.

Security Features of Our Currency

By far the most important facet of currency management is building in security features to prevent counterfeiting.

There are several considerations that go into the design of a currency note, such as reflection of the culture, history and ethos of the nation, a pleasing and appealing look and feel, sensitivity to the needs of differently abled people, particularly those with vision deficiencies, and amenability to mechanized processing. An overriding consideration, of course, is to make counterfeiting difficult and expensive. Keeping ahead of counterfeiters by constantly enhancing the security features is the only way by which central banks can confront this constant occupational hazard.

The most effective deterrent to counterfeiting is wide public awareness of the security features so that people are able to tell a counterfeit note from a genuine one. This is the motivation for the extensive awareness campaign that the Reserve Bank runs in the media to educate people on the security features of the currency. That shopkeepers routinely hold up high denomination notes to the light with the confidence of people who know how to tell the true from the false is everyday proof of the success of this scheme.